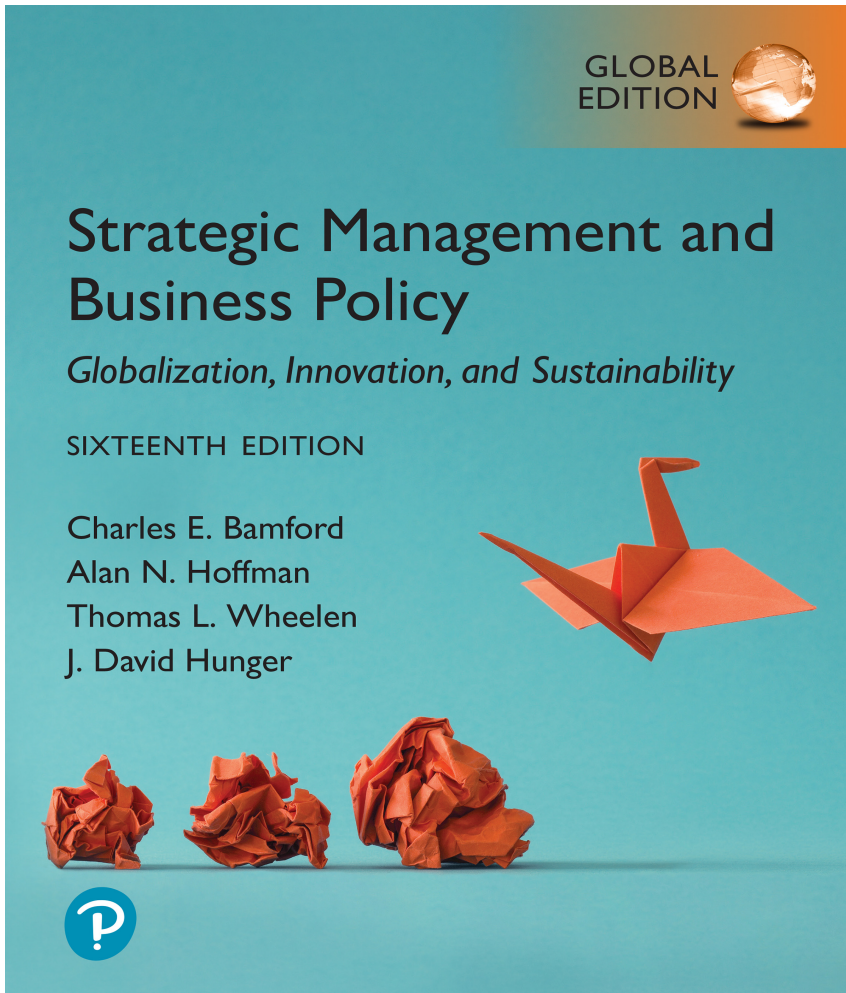


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 5

Organizational Analysis and Competitive Advantage

A Resource-Based Approach to Organizational Analysis-VRIO

- **Organizational analysis**
 - concerned with identifying and developing an organization's resources and competencies

Core and Distinctive Competencies (1 of 5)

- **Resources**

- An organization's assets; and are thus the basic building blocks of the organization.
- Tangible, intangible

- **Capabilities**

- Refer to a corporation's ability to exploit its resources.
- Consist of business processes and routines that manage the interaction among resources to turn inputs into outputs

Core and Distinctive Competencies (2 of 5)

- **Core competency**
 - a collection of competencies that cross divisional boundaries, is widespread throughout the corporation and is something the corporation does exceedingly well
- **Distinctive competency**
 - core competencies that are superior to those of the competition

VRIO Framework of Analysis

1. **Valuable:** Does it provide customer value and competitive advantage?
2. **Rareness:** Do no other competitors possess it at the same level?
3. **Imitability:** Do the competitors have the financial ability to imitate?
4. **Organization:** Is the firm organized to exploit the resource?

Core and Distinctive Competencies (3 of 5)

In order for a resource/capability to be valuable, it must allow the organization to:

1. charge more for its offerings than competitors do for theirs,
2. have a lower cost structure than those of the competitors, or
3. convince customers to pass the competitors and come to your organization because you have this R/C

Core and Distinctive Competencies (4 of 5)

Imitability—the rate at which the organization's resources or capabilities can be imitated or duplicated. Imitability is related to these three factors;

1. **Transparency**—the speed at which other firms under the relationship of resources and capabilities support a successful strategy
2. **Transferability**—the ability of competitors to gather the resources and capabilities necessary to support a competitive challenge
3. **Replicability**—the ability of competitors to use duplicated resources and capabilities to imitate the other firm's success

Core and Distinctive Competencies (5 of 5)

- **Explicit knowledge**
 - knowledge that can be easily articulated and communicated
- **Tacit knowledge**
 - knowledge that is not easily communicated because it is deeply rooted in employee experience or in the company's culture

Using Resources/Capabilities to Gain Competitive Advantage (1 of 2)

An organization can gain access to a distinctive competency in four ways:

1. Asset endowment
2. Acquired from someone else
3. Shared with another business
4. Built and accumulated within the company

Using Resources/Capabilities to Gain Competitive Advantage (2 of 2)

- **Clusters**

- geographic concentrations of interconnected companies and industries

- Gives organizations better access to:

- employees
 - suppliers
 - specialized information
 - complementary products

Business Models (1 of 4)

- **Business model**
 - a company's method for making money in the current business environment
 - includes the key structural and operational characteristics of a firm—how it earns revenue and makes a profit

Business Models (2 of 4)

A **business model** is composed of responses to these five questions:

1. Who is the customer for this business, that is, who parts with money?
2. What is the methodology for delivering the product/service to the customer?
3. Where does the company make its margin—revenue minus cost?
4. What are the compelling competitive advantages that draw customers past competitors?
5. How is the company organized?

Business Models (3 of 4)

Some of the many possible business models are:

- Customer solutions model
- Profit pyramid model
- Multicomponent system/installed base model
- Advertising model
- Switchboard model

Business Models (4 of 4)

Some other possible business models are:

- Time model
- Efficiency model
- Blockbuster model
- Profit multiplier model
- Entrepreneurial model
- De facto industry standard model

Value-Chain Analysis

- **Value chain**

- a linked set of value-creating activities that begin with basic raw materials coming from suppliers moving on to a series of value-added activities involved in producing and marketing a product or service and ending with distributors getting the final goods into the hands of the ultimate consumer

Figure 5-1: Typical Value Chain for a Manufactured Product



Industry Value Chain Analysis

Value chain segments include:

- Upstream
- Downstream
- **Center of gravity**
 - the part of the chain that is most important to the company and the point where its core competencies lie

Corporate Value-Chain Analysis (1 of 2)

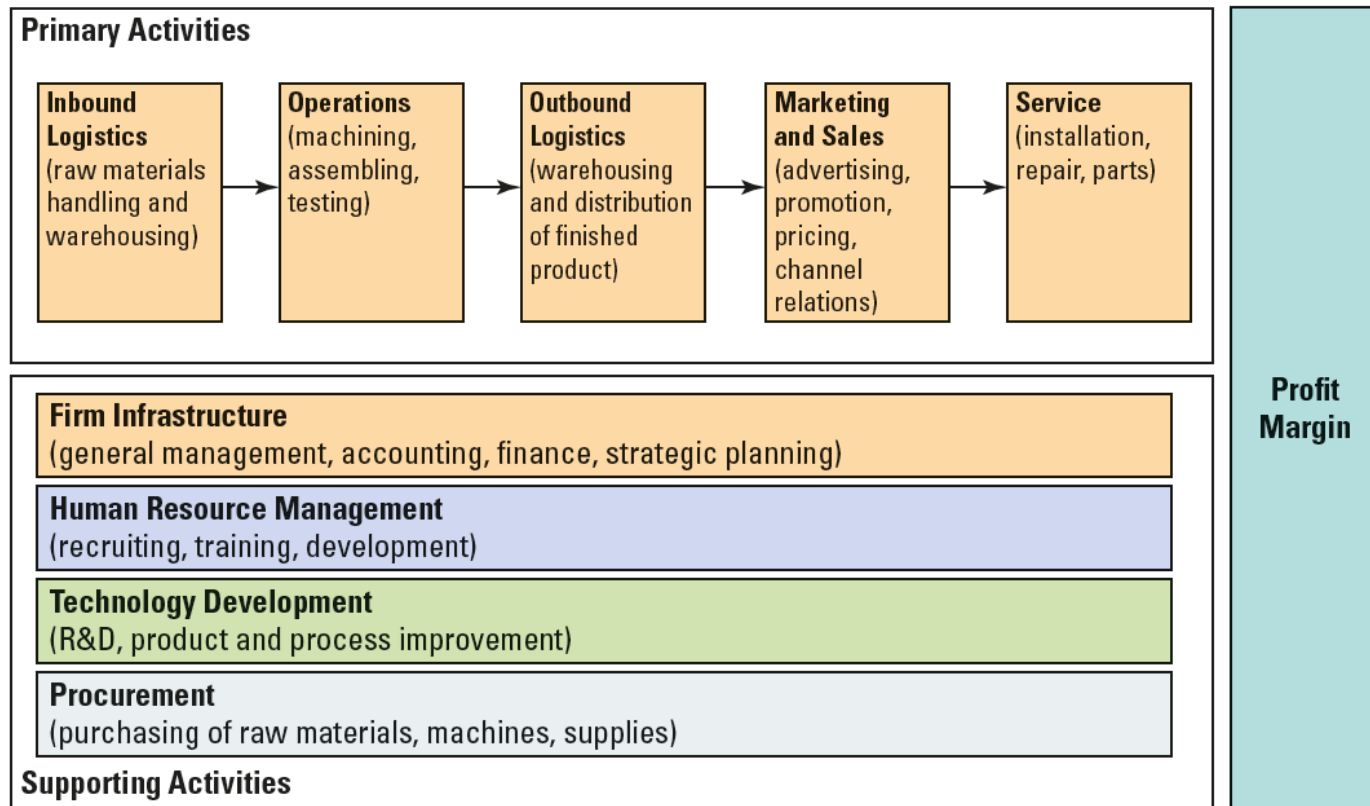
Primary Activities

- Inbound logistics
- Operations
- Outbound logistics

Support Activities

- Procurement
- Technology development
- Human resource management
- Firm infrastructure

Figure 5-2 An Organization's Value Chain



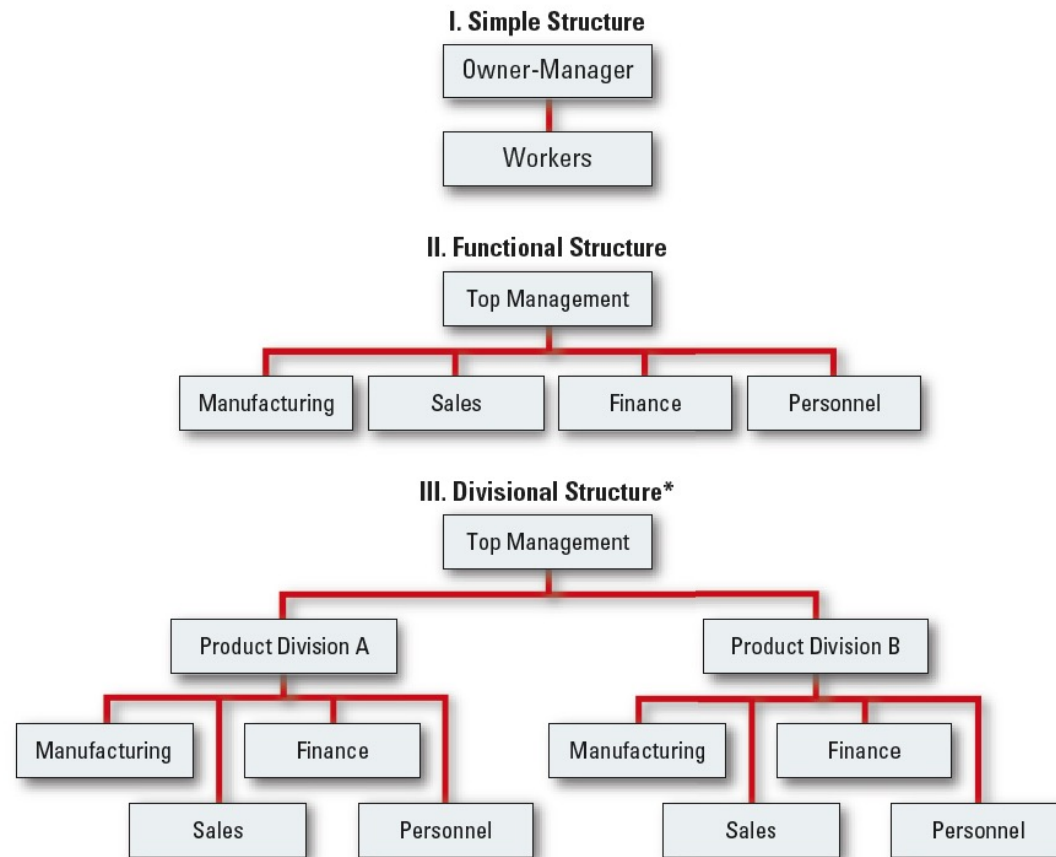
Source: Based on The Free Press, a division of Simon & Schuster, from Competitive Advantage: **Creating and Sustaining Superior Performance** by Michael E. Porter. © Thomas L. Wheelen.

Corporate Value-Chain Analysis (2 of 2)

1. Examine each product line's value chain in terms of the various activities involved in producing the product or service
2. Examine the linkages within each product line's value chain
3. Examine the potential synergies among the value chains of different product lines or business units

Basic Organizational Structures (1 of 2)

Figure 5-3



*Strategic Business Units and the conglomerate structure are variants of the divisional structure.

Basic Organizational Structures (2 of 2)

- Simple
- Functional
- Divisional
- Strategic business units
- Conglomerate

Culture (1 of 3)

- **Corporate culture**
 - the collection of beliefs, expectations, and values learned and shared by a corporation's members and transmitted from one generation of employees to another

Culture (2 of 3)

- **Cultural intensity**
 - the degree to which members of a unit accept the norms, values, or other cultural content associated with the unit
 - shows the culture's depth
- **Cultural integration**
 - the extent of which units throughout the organization share a common culture
 - culture's breadth

Culture (3 of 3)

Functions of Corporate Culture

1. Conveys a sense of identity for employees
2. Generates employee commitment
3. Adds to the stability of the organization as a social system
4. Serves as a frame of reference for employees to understand organizational activities and as a guide for behavior

Strategic Marketing Issues

- **Market position**
 - refers to the selection of specific areas for marketing concentration and can be expressed regarding market, product, and geographic locations
- **Market segmentation**
 - Identifying various market niches to seek and the products and services those segments the firm can develop that will not overlap with existing offerings
- **Marketing mix**
 - the particular combination of key variables under a corporation's control that can be used to affect demand and to gain competitive advantage

Table 5-1 Marketing Mix Variables

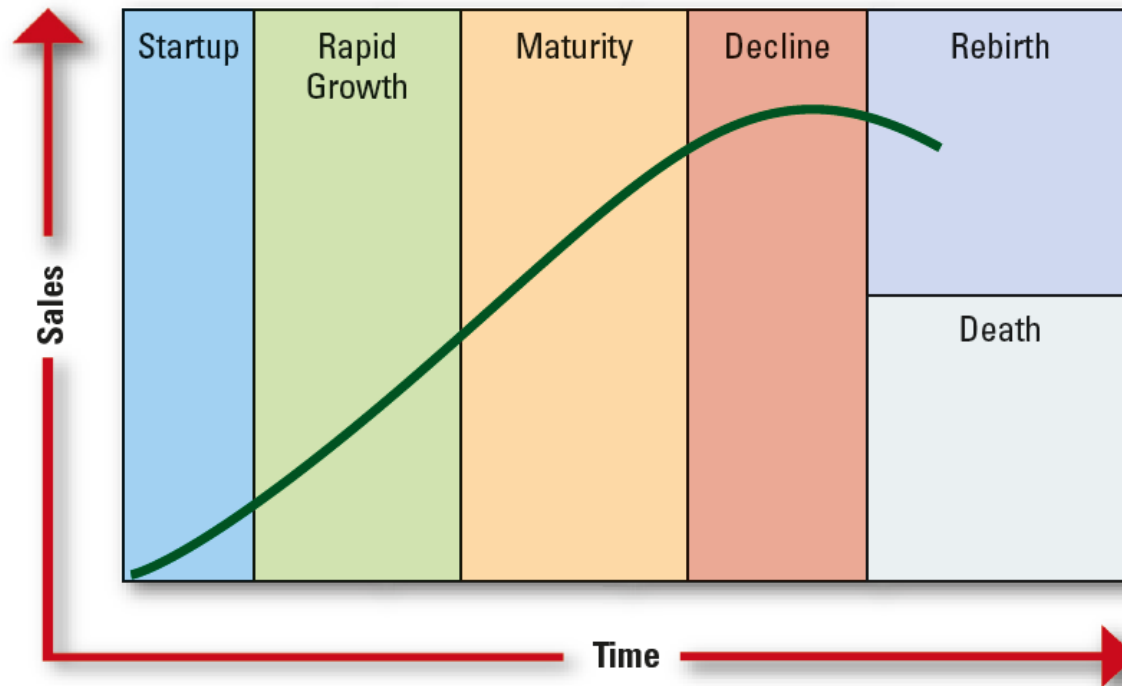
Product	Place	Promotion	Price
Quality	Channels	Advertising	List price
Features	Coverage	Personal selling	Discounts
Options	Locations	Sales promotion	Allowances
Style	Inventory	Publicity	Payment periods
Brand name	Transport		Credit items
Packaging			
Sizes			
Services			
Warranties			
Returns			

Source: Philip Kotler, **Marketing Management**, 11th edition © 2003, p. 16. Reprinted by Pearson Education Inc., Upper Saddle River, NJ

Product Life Cycle

- **Product life cycle**
 - a graph showing time plotted against the sales of a product as it moves from introduction through growth and maturity to decline.

Figure 5-4 Product Life Cycle



* The right end of the Growth stage is often called Competitive Turbulence because of price and distribution competition that shakes out the weaker competitors. For further information, see C. R. Wasson, **Dynamic Competitive Strategy and Product Life Cycles**. 3rd ed. (Austin, TX: Austin Press, 1978).

Brand and Corporate Reputation (1 of 2)

- **Brand**
 - a name given to a company's product which identifies that item in the mind of the consumer
- **Corporate brand**
 - a type of brand in which the company's name serves as the brand

Brand and Corporate Reputation (2 of 2)

- **Corporate reputation**
 - a widely held perception of a company by the general public
- Consists of two attributes:
 1. Stakeholders' perceptions of quality
 2. Corporation's prominence in the minds of stakeholders

Strategic Financial Issues

- **Financial leverage**
 - ratio of total debt to total assets
 - describes how debt is used to increase earnings available to common shareholders
- **Capital budgeting**
 - analyzing and ranking of possible investments in fixed assets regarding additional outlays and receipts that will result from each investment
 - hurdle rate

Strategic Research and Development (R&D) Issues

- **R&D intensity**
 - spending on R&D as a percentage of sales revenue
 - principal means of gaining market share in global competition
- **Technology transfer**
 - the process of taking new technology from the laboratory to the marketplace

R&D Mix

- **Basic R&D**
 - focuses on theoretical problems
- **Product R&D**
 - concentrates on marketing and is concerned with product or product packaging improvements
- **Engineering R&D**
 - concerned with engineering, concentrating on quality control, and the development of design specifications and improved production equipment

Impact of Technological Discontinuity on Strategy

- **Technology discontinuity**
 - when a new technology cannot be used to enhance current technology but substitutes for the technology to yield better performance

Strategic Operations Issues

- **Intermittent systems**
 - item is normally processed sequentially, but the work and sequence of the process vary
- **Continuous systems**
 - work is laid out in lines on which products can be continuously assembled or processed
- **Operating leverage**
 - impact of a specific change in sales volume on net operating income

Experience Curve

- **Experience curve**
 - unit production costs decline by some fixed percentage each time the total accumulated volume of production units doubles
 - The cost decline is typically in the 20% to 30% range

Flexible Manufacturing for Mass Customization

- The use of **Computer-Assisted Design** and **Computer-Assisted Manufacturing (CAD/CAM)**, **AI** (Artificial Intelligence) and robot technology enable firms to make products in small, customized batches in a process called **mass customization**
- Economies of scope replace economies of scale
- Flexible manufacturing technologies permit low-volume output of tailored products

Increasing Use of Teams (1 of 3)

- **Autonomous (self-managing)**
 - a group of people work together without a supervisor to plan, coordinate, and evaluate their work
- **Cross-functional work teams**
 - various disciplines are involved in a project from the beginning
- **Concurrent engineering**
 - specialists work side-by-side and compare notes constantly to design cost-effective products with features customers want

Increasing Use of Teams (2 of 3)

- **Virtual teams**
 - groups of geographically and/or organizationally dispersed co-workers that are assembled using a combination of telecommunications and information technologies to accomplish an organizational task
 - becoming more prevalent with about 80% to 90% of workers expressing a desire to telecommute at least part time

Increasing Use of Teams (3 of 3)

Challenges faced by virtual teams include:

1. Communication
2. Tracking productivity
3. Issues of employee trust
4. Sustaining the company culture

Quality of Work Life and Human Diversity (1 of 2)

Quality of work life includes improvements in:

1. Introducing participative problem solving
2. Restructuring work
3. Introducing innovative reward systems
4. Improving the work environment

Quality of Work Life and Human Diversity (2 of 2)

Human diversity

- the mix in the workplace of people with varying race, gender, religion, sexual orientation, ethnicity, nationality, socioeconomic status, language, ability status, age, religious commitment, or political perspectives
- human resources may be a key to competitive advantage
- also known by the acronym DEI (Diversity, Equity, & Inclusion)

Strategic Information Systems/Technology Issues (1 of 2)

Information systems/technology contributions to performance:

- Automation of back-office processes
- Automation of individual tasks
- Enhancement of key business functions
- Development of a competitive advantage

Strategic Information Systems/Technology Issues (2 of 2)

- **Supply chain management**
 - the forming of networks for sourcing raw materials, manufacturing products or creating services, storing and distributing the goods, and delivering them to customers and consumers.

Synthesis of Internal Factors (IFAS) (1 of 2)

- The **IFAS (Internal Factor Analysis Summary) Table**
 - one way to organize the internal factors into the generally accepted categories of strengths and weaknesses
 - examines how well a particular company's management is responding to these specific factors in light of the perceived importance of these factors

Synthesis of Internal Factors (IFAS) (2 of 2)

- Use the VRIO framework (Value, Rareness, Imitability, and Organization) to assess the importance of each of the factors that might be considered strengths.

Internal Factors Analysis Summary (IFAS Table): Skechers as Example (1 of 5)

Strengths

Internal Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Semi-autonomous management structure	.05	5	.25	Allows the global brand to expand with a focus in local markets using licensing and subsidiaries
Choosing to use excess capital to re-invest into business activities instead of giving out dividends	.10	3	.30	Lends the opportunity to grow faster, but they are not investing back into marketing or R&D
Low debt ratio and increasing cash flows	.10	3	.30	Increases stakeholder confidence and more equity means less reliance on debt
All manufacturing is outsourced	.10	5	.50	It is expensive to own manufacturing facilities
Offer paid training program and good benefits	.025	3	.075	Employee programs allow for growth and development
Increased spending on IS	.095	3	.285	IS will ultimately increase efficiency and control measures

Internal Factors Analysis Summary (IFAS Table): Skechers as Example (2 of 5)

Weaknesses

Internal Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Lack of focused values, culture, and diversity	.03	5	.15	Skechers' values, culture, and social position is not well defined and affect HR, customers, employees, and possibly the bottom line. Diversity is a pressing political topic and should be something to address at the corporate level
Consolidated outsourcing	.15	3	.45	They are highly susceptible to manufacturers since 30% of manufacturing comes from one manufacturer and five more make up 56.6%.
No long-term contracts for outsourced manufacturing	.025	3	.075	Although there are "good relationships" with manufacturing companies abroad, there is not a guarantee for continued service and one plant holds 30% of manufacturing activities
Poor utilization of social media	.05	5	.25	Their social media presence is weak and they have a difficult time getting people who follow the social media groups to interact

Internal Factors Analysis Summary (IFAS Table): Skechers as Example (3 of 5)

Weaknesses

Internal Factors	Weight	Rating	Weighted Score	Comments
1	2	3	4	5
Skechers is trailing the competition in terms of internal IT capabilities	.15	3	.45	Without the latest IT capabilities, Skechers will be hurt in an era where most things can be done online
Weak online sales	.10	3	.30	More and more people are buying items online and they need to be able to match this capability
Association with disreputable contractors harms reputation	.025	3	.075	Corporate social responsibility is currently heavily emphasized
Total Scores	1.00	-	3.558	-

Internal Factors Analysis Summary (IFAS Table): Skechers as Example (4 of 5)

Notes:

1. List strengths and weaknesses (8–10) in Column 1.
2. Weight each factor from 1.0 (Most Important) to 0.0 (Not Important) in Column 2 based on that factor's probable impact on the company's strategic position. **The total weights must sum to 1.00.**
3. Rate each factor from 5.0 (Outstanding) to 1.0 (Poor) in Column 3 based on the company's response to that factor.
4. Multiply each factor's weight times its rating to obtain each factor's weighted score in Column 4.
5. Use Column 5 (comments) for the rationale used for each factor.
6. Add the individual weighted scores to obtain the total weighted score for the company in Column 4. This tells how well the company is responding to the factors in its internal environment.

Internal Factors Analysis Summary (IFAS Table): Skechers as Example (5 of 5)

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Q & A